

young communities or beauty, apparel, health will have a disproportionate share on Snap,” says Mohan.

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THE SURGE IN digital advertising revenue in India has sustained on a large base. For 2022, it stood at ₹57,100 crore from ₹30,800 crore in 2019, according to the FICCI-EY Media and Entertainment Sector Overview 2022. Today, the lion's share is with Google at just under ₹25,000 crore, with Amazon India accounting for over ₹4,000 crore, and Flipkart around ₹2,000 crore. Industry executives insist the market size could be a lot more since advertising from smaller entities is not necessarily accounted for.

“India is at a very interesting phase of digital adoption and it is at a tipping point across most sectors in the internet economy. The rise of online commerce, digital payments and its digital services on the back of higher smartphone penetration and rising per capita income will drive the growth of digital advertising in India,” says Pulkrit Trivedi, Managing Director (India) at Snap Inc. There are over 750 million internet users, upwards of 220 million online shoppers and more than 350 million digital payment users, per reports. “India remains a substantial and expanding market for digital ads and that is a massive opportunity. With a sizeable user base of over 200 million plus our leadership in AR, we want to monetise effectively building a robust business foundation,” he adds.

The bet is on the user base sticking on to Snapchat as they get older. Mohan points to this being the phase when consumers are at an early stage of engaging with AR. On Snapchat, consumers could try on clothes or shoes for instance. “Imagine using AR to try out a shoe in a particular colour or with a look and that can be a game changer,” he says. From a monetisation point of view, the performance marketing model will be a big pillar, but “we can always bring in AR”. Trivedi says some building blocks are needed in India to drive user growth, enhance engagement and boost content consumption. “We must serve our partners with effective advertising products to build a business for Snap in the next 5-10 years,” he adds.

But there will be challenges. “There will be strong market forces and lobbying from stronger competitive forces that are after the same pie and business model of content-based advertising and marketers' wallets,” says Shah, adding that building a strong community is what Snap should focus on. “For Snap, it's about getting ahead with localised content or its community to drive that flywheel effect, apart from managing a dynamic policy and regulatory environment,” he says.

However, India is a big opportunity. Shah points out that of the 600 million smartphone users, over 50 per cent (upwards of 300 million) engage on social media. Higher smartphone penetration can take that number closer to 500 million. “The overall addressable market in India for Snap by the end of this decade is close to a billion users. With an ARPU of even \$1 per quarter, that is \$4 billion, which is how much Snap makes globally.” If that story plays out, we could well see the emergence of India as a huge market for Snap Inc. **BT**

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CHANDRIKA JAIN
DIRECTOR (MARKETING),
LENOVO INDIA

“Leveraging its ephemeral nature from a brand-building perspective, short-form content-based ads (6 seconds or 15 seconds) seem native to run on the platform”



NEIL SHAH
RESEARCH VICE
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“Snap is quite differentiated when it comes to how young people engage on it via Stories, AR Filters, Visual Messaging, Spotlight, AR Commerce, and AI Messaging”